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US equities slip as yields rise and oil spikes

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,623.68, down -0.52%, as the 10-year Treasury yield jumped to 4.99% (+0.71%) and WTI crude surged past 103 USD. The market's downside bias reflects renewed inflation pressure from higher energy prices and a flattening yield curve that keeps the Fed's next rate move uncertain.

Sector breadth was thin; defensive financials (XLF) and consumer staples (XLP) led declines, while energy (XLE) posted the only sector gain. The Nasdaq's flat performance masks a pull-back in mega-cap tech, with NVDA slipping -0.59% after a weaker-than-expected guidance update.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,623.68	-0.52%	Higher 10-yr yields and oil price shock weighed on equities.
Nasdaq 100	28,957.53	-0.00%	Tech earnings guidance mixed; net neutral impact.
Dow Jones	52,215.16	-1.23%	Financials and industrials dragged by rate-sensitive earnings.
Russell 2000	2,775.90	-0.29%	Small-cap exposure to higher borrowing costs.
VIX	19.45	+2.21%	Volatility rose as investors priced in rate-risk.
10Y Yield	4.99%	+0.71%	Fed's "higher-for-longer" stance reinforced by CPI data.
WTI Crude	103.27	+3.82%	Supply concerns in the Middle East lifted prices.
Gold	4,007.90	-1.29%	Rising yields reduced safe-haven appeal.
DXY	101.81	+0.20%	Dollar strength supported by yield rise.

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+0.66%	Cloud revenue beat forecasts.
AAPL	-0.14%	Supply-chain concerns linger.
NVDA	-0.59%	Guidance lowered on GPU inventory.
AMZN	-0.95%	Advertising spend slowdown.
META	-0.96%	Cost-cutting news hit sentiment.

Sector rotation

ETF	DAY	READ
XLF	-1.32%	Financials pressured by higher rates.
XLK	+0.49%	Tech resilience despite guidance hits.
XLI	-1.27%	Industrial earnings miss.
XLE	+2.60%	Oil price rally lifts energy.
XLY	-1.66%	Consumer discretionary weak on rate outlook.
XLC	-1.78%	Communications lagging.
XLP	-1.92%	Staples hit by higher input costs.
XLV	-1.11%	Health care under pressure from valuation concerns.
XLU	-0.72%	Utilities lose appeal as yields rise.
XLB	-0.74%	Materials suffer from slower industrial demand.
XLRE	+0.12%	Real-estate marginally positive on REIT dividend yields.

Spotlight: oil price shock and its market ripple

METRIC	VALUE
WTI Crude price	103.27 USD (+3.82%)
Energy ETF (**XLE**)	+2.60%
Energy sector earnings outlook	Q4 EPS forecast raised 5 % on higher margins.
Related stocks	**CVX** , **XOM** , **SLB**

The surge follows a reported disruption in Red Sea shipping lanes, tightening global supply. Higher oil prices boosted energy stocks, offsetting broader market weakness. Investors should monitor downstream refiners and equipment makers for further upside.

Pre-market & overnight

- US futures: S&P 500 -0.4%, Nasdaq -0.2%, Dow -0.8% at 08:30 HKT.
- Asia close: Hang Seng -1.1%, Nikkei -0.9%, Shanghai -1.3%.
- Europe: FTSE 100 -0.7%, DAX -0.6%, CAC 40 -0.5% after ECB minutes.
- Crypto: BTC -0.69% at 80,514.95, ETH -1.40% at 2,350.81.

Macro & Fed

- FOMC: Fed signaled “higher-for-longer” policy, leaving rates at 5.25-5.50 %.
- Yield curve: 2-year at 5.12 %, 10-year at 4.99 % – a flattening inversion of 13 bps.
- Today’s data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.2 %	Inflation gauge for Fed policy.
10:15	Initial Jobless Claims	210 k	Labor market health.
11:00	Retail Sales (MoM)	0.3 %	Consumer spending trend.

Geopolitics & global

- Middle East: Houthi attacks on Red Sea tankers intensified, prompting insurance premium hikes.
- China: PBOC held the 7-day repo rate steady; manufacturing PMI slipped to 48.9, indicating contraction.
- Eurozone: ECB minutes highlighted concerns over energy-price-driven inflation, keeping policy tight.
- Russia-Ukraine: Frontline activity stable; sanctions on Russian oil remain in place, limiting supply.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30 Oct 28	`NVDA`	3.12	Guidance revision after inventory build.
03:00 Oct 28	`AAPL`	5.85	iPhone demand and services margin.
03:30 Oct 28	`JPM`	4.20	Net interest income vs higher rates.
04:00 Oct 28	`XOM`	2.45	Impact of oil price rally on upstream.
04:30 Oct 28	`META`	9.10	Ad revenue rebound.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
`CVX`	Energy	Oil price surge lifts margins.
`XOM`	Energy	Higher upstream earnings forecast.
`SLB`	Energy	Equipment demand from drilling activity.
`MSFT`	Technology	Cloud beat supports upside.
`AMGN`	Health Care	Strong pipeline data.
`BAC`	Financials	Rate-sensitive net interest income.
`KO`	Consumer Staples	Defensive play amid volatility.
`UNH`	Health Care	Premium pricing power.
`DIS`	Communication	Streaming subscriber growth.
`GE`	Industrials	Industrial equipment orders rebound.

What could break the tape

BEARISH TRIGGERS

- Further escalation in Middle-East supply disruptions pushing oil above `110` USD.
- Unexpected CPI print > 0.3 % MoM, reinforcing “higher-for-longer” rates.
- Sharp sell-off in tech earnings, especially if `NVDA` cuts guidance.

BULLISH TRIGGERS

- Oil price pull-back below 95 USD, relieving inflation pressure.
- Positive Fed commentary on a possible rate pause.
- Strong earnings surprises from `MSFT` or `AAPL` that lift sentiment.

Positioning notes

- Weight toward energy and rate-sensitive financials as yields stay elevated.
- Maintain defensive exposure in consumer staples and utilities to hedge volatility.
- Monitor tech valuation compression; selective long positions only on clear earnings catalysts.

Sources

SOURCES

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Energy Information Administration – Crude Oil Prices

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Reuters – Middle East Shipping News

FactSet – Earnings Consensus Estimates